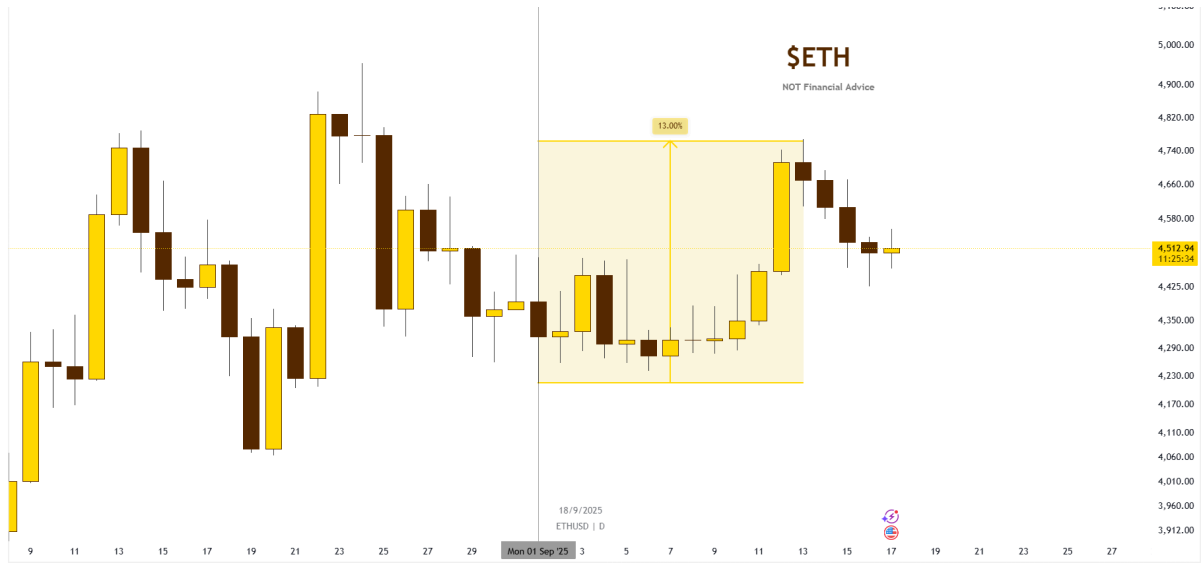
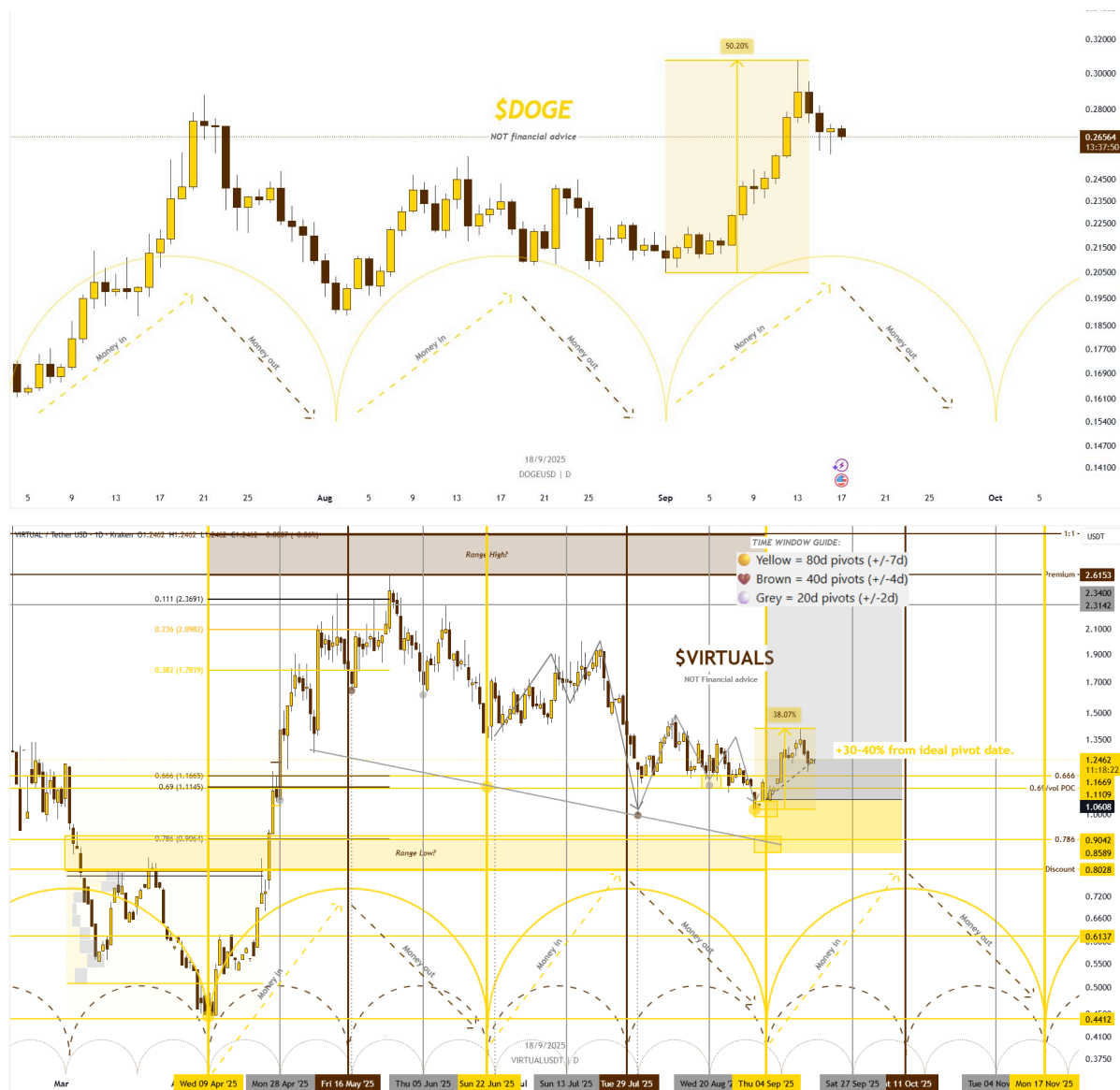






Example 11 - Mapping Global Crisis/ Black Swan Events And macro cycle tops and bottoms with Ratios

If you are asking “How do I find these types of powerful charts myself?”

Remember ratios are the language of finance. So we ask the question, “When is a crash or capital rotation event likely to happen?”.

Then we must look at the principles behind a crash. A crash is where there is a large and sharp shift in collective consciousness from abundance to scarcity, from greed to fear. So we logically can say what assets are most fear based and which most greed based? Or, we can research “what asset sectors go up most in a bull market, what asset sectors go down most in a bear market? And, vice versa.

We are left with comparing the likes of Fear: Gold, precious metals, commodities, bonds, insurance, consumer debt etc. against Greed: Speculative equities, Crypto currency etc.

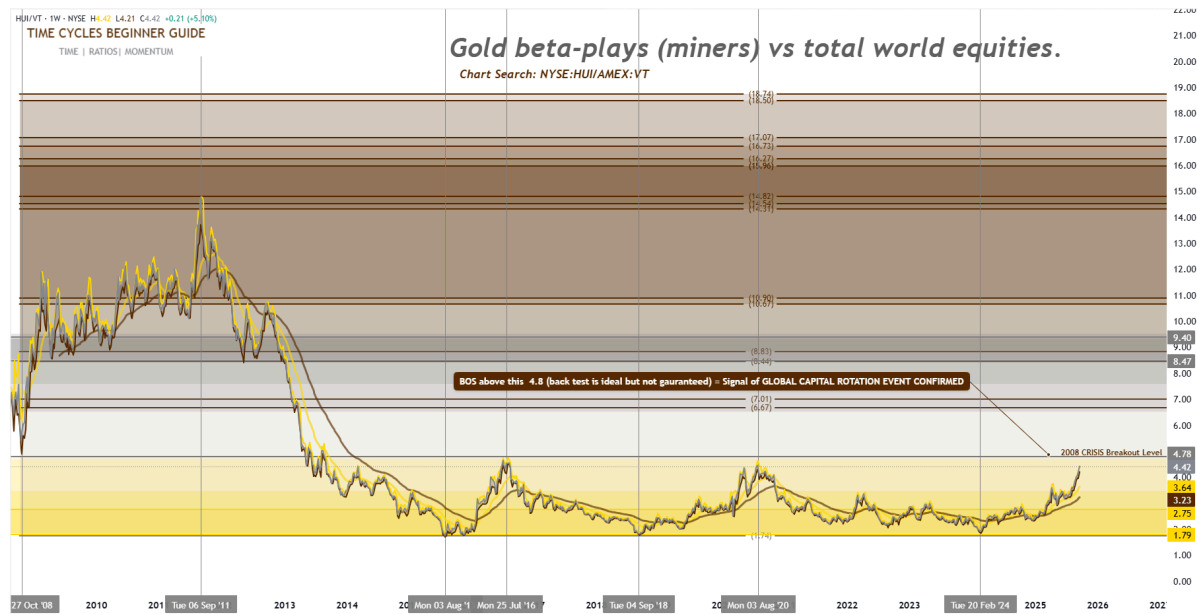
11.1 - Global Precious Metals vs Global Equities Ratios

1. GDX / ACWI → Gold Miners ETF vs MSCI All Country World Index
 - Tracks gold mining equities relative to global equities.
2. GDX / URG → Gold Miners ETF vs MSCI World Index (developed markets)
 - Similar but developed-world equity benchmark.
3. HUI / VT → Gold BUGS Index vs Vanguard Total World Stock ETF
 - Classic high-beta gold miners vs total global equities.
4. XAU/USD / ACWI → Spot Gold vs global equities
 - Pure gold metal performance vs world equities.
5. GOEX / URG → Global Gold Explorers ETF vs MSCI World Index
 - Speculative gold explorers vs developed-market equities.
6. SIL / ACWI → Silver Miners ETF vs global equities
 - Silver beta vs total equities.
7. GLD / VT → Gold ETF vs global equities
 - Simplest version: gold vs world stock benchmark.

These ratios let you track capital rotation on a global scale, not just U.S. centric.

- If trending higher → hard assets & miners outperform global equities (risk-off / liquidity stress).
- If trending lower → global equities dominate (risk-on / abundant liquidity).

Let's have a deeper dive into one of these Global Meals vs Global Equities Ratios - HUI / VT:



HUI / VT (Gold Miners ÷ Global Equities)

One of the cleanest global liquidity tells:

- Liquidity abundant → Flows into global equities (VT)
- Liquidity tight / crisis → Flows rotate into gold beta (HUI miners)

Key Pivots:

- 2008–2011: Surge → GFC crunch + gold bull
- 2011–2015: Collapse → QE-fueled equity boom
- 2016–2020: Sideways → Fed tightening + trade-war uncertainty
- 2020: Spike → COVID shock
- 2024–2025: Breaking higher → Stagflation + debt/liquidity stress

The Key Level:

If HUI/VT holds above the 2008 crash-bottom, it signals:

- Not just crisis bounce
- Structural leadership for miners over global equities
- A secular rotation = hard assets regaining dominance in chronic liquidity stress

Meaning: Clearing that level = Not a panic spike, but the start of a long-term re-pricing of precious metals vs world equities.

11.2 - The Top 15 Ratios to mark bull & bear market tops and bottoms with precision.

These ratios reveal when money is quietly rotating between **risk-on vs risk-off** assets:

The overall top 15 is:

1. **TIPS / BTC** → Bonds vs Crypto (safety vs speculation)
2. **TLT / IWM** → Treasuries vs Small Caps (defensive bonds vs risk-on equities)
3. **GLD / SPY** → Gold vs Equities (hard assets vs paper assets)
4. **DXY / EEM** → Dollar vs Emerging Markets (USD strength vs EM risk appetite)
5. **LQD / HYG** → Investment Grade Corporate Bonds vs High-Yield Corporate Junk Bonds (quality credit vs high-yield risk)
6. **IEF / QQQ** → Bonds vs Tech Growth (stability vs speculative growth)
7. **ARKK / VIX** → Volatility vs Innovation (risk innovation bets vs fear index)
8. **XLP / XLY** → Staples vs Discretionary (defensive consumer vs cyclical spending)
9. **BND / IPO ETF** → Bonds vs IPOs (safe yields vs speculative new issues)
10. **GDX / XBI** → Gold Miners vs Biotech (real asset leverage vs speculative science)
11. **DBC / SPY** → Commodities Index vs Equities (real assets vs paper assets)
12. **CRB / SPX** → Broad Commodities vs S&P (inflation cycle signal)
13. **TIP / SPY** → Inflation-Protected Bonds vs Equities (inflation vs growth)
14. **SIL / ACWI** → Silver Miners vs Global Equities (higher risk metals vs world stocks)
15. **HUI / VT** → Gold Miners vs Total World Equities (global liquidity gauge)

BONUS: US10Y Yield / Gold → Real rates vs hard assets (inflation hedge timing)

When these ratios **break trend**, it's often the **first clue** of a major cycle shift.

Next we will look at a few of these 15 ratios for an example.

11.2. 1- ARKK / VIX → Innovation vs Volatility (risk innovation bets vs fear index).



What this ratio chart shows:

- **ARKK (Cathie Wood's Innovation ETF)** = High-beta, speculative growth plays.
- **VIX (Volatility Index)** = The market's "fear gauge."
- By dividing ARKK by VIX, you get a **risk-on vs fear ratio**.

When **ARKK/VIX is high** → Speculative innovation is outperforming fear → **risk-on environment**.

When **ARKK/VIX collapses** → Fear dominates innovation → **risk-off / liquidity stress**.

Remember the "4 Laws". Here as an example you could rate how useful the ratio is as a confluence tool. When we backtest its accuracy we would see the below stats upon which you could make your decision:

- Accuracy rate =90%
- Total arrows: 20
- Grey arrows (false signals): 2
- Correct signals: 18 out of 20

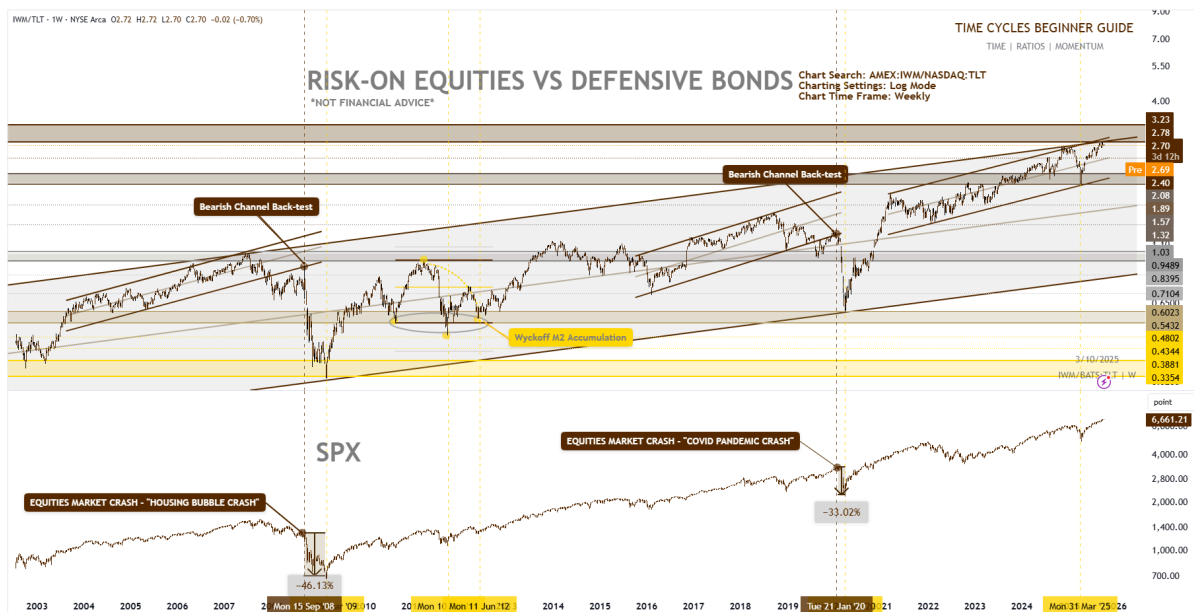
Why this matters for BTC:

- Bitcoin trades in line with **risk-on liquidity cycles**.
- Historically, BTC macro tops & bottoms align with **extremes in ARKK/VIX**.
- This makes it a **leading risk sentiment ratio** — when it breaks down, it often front-runs BTC corrections.

So this ratio becomes a **macro BTC buy & sell signal framework**.

It should not be depended on, but it can be helpful in aiding macro investing position management.

11.2.2 IWM/TLT — Macro Risk-On vs Defensive Bonds



This ratio tracks **small-cap equities (IWM) vs long-term Treasuries (TLT)**.

- Rising = risk-on preference (equities outperform bonds)
- Falling = defensive shift (bonds outperform equities)

On the chart:

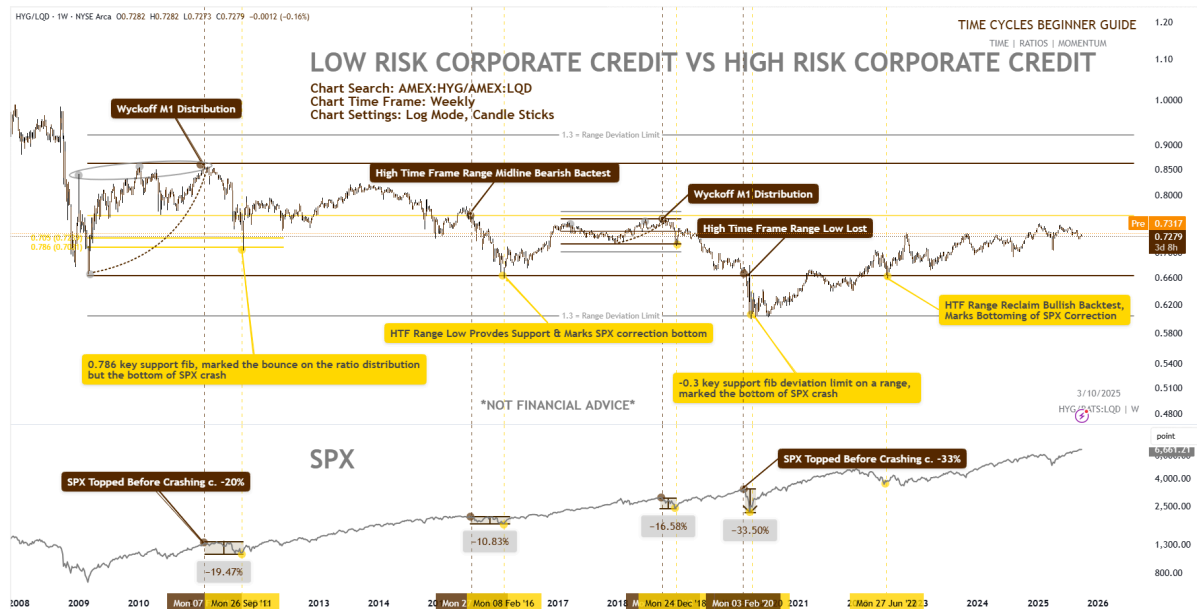
- **2008 Housing Bubble Crash:** Ratio broke down after a bearish channel backtest → SPX collapsed ~46%.
- **2020 Pandemic Crash:** Same setup → SPX collapsed ~33%.
- Current structure: Another **bearish channel backtest** forming.

Takeaway:

Parallel channel backtests have aligned with major equity crashes ('08 housing bubble, '20 pandemic).

A cleaner lens for macro SPX support & resistance — fewer signals, but only when they matter most.

11.2.3 HYG/LQD - Low risk Corporate credit(bonds) vs High Risk Corporate credit (bonds)



What the Chart Shows

- **HYG (High Yield = “junk bonds”)** reflects investor appetite for riskier corporate debt.
- **LQD (Investment Grade)** reflects safer, higher-quality corporate debt.
- **HYG/LQD ratio rising** → risk-on, investors chasing yield.
- **HYG/LQD ratio falling** → risk-off, investors fleeing to safety.

Key Historical Structures

1. 2008 Housing Bubble Crash

- Clear **Wyckoff M1 Distribution** before the collapse.
- Ratio rolled over hard → SPX dropped ~46%.
- **Note:** the 0.786 fib acted as support for the ratio, but it marked the bottom of the SPX crash.

2. 2011 Sovereign Debt / Euro Crisis

- SPX topped, then crashed ~-20%.

- Ratio tagged HTF range low → provided support = SPX correction bottom.

3. 2016 Global Growth Score

- Another correction: SPX dropped ~-11%.
- HYG/LQD again found support at HTF range low → bottom signal.

4. 2018 Fed Tightening + Trade War

- Ratio dipped to **-0.3 fib deviation limit**, marking the *exact bottom* of the SPX ~-17% correction.

5. 2020 COVID Crash

- Ratio broke down again after Wyckoff-style distribution.
- SPX collapsed ~-33%.
- Once more, ratio found bottom at fib deviation, aligning with SPX bottom.

6. 2022 Inflation / Rate Hikes Crash

- Ratio broke HTF range low → SPX dropped ~-33%.
- Recovery only came when ratio reclaimed → bullish backtest.

- Historically:
 - **Breakdowns below this zone** → SPX faces major drawdowns.
 - **Reclaims & bullish backtests** → Signal SPX correction bottoms.

Why It Matters

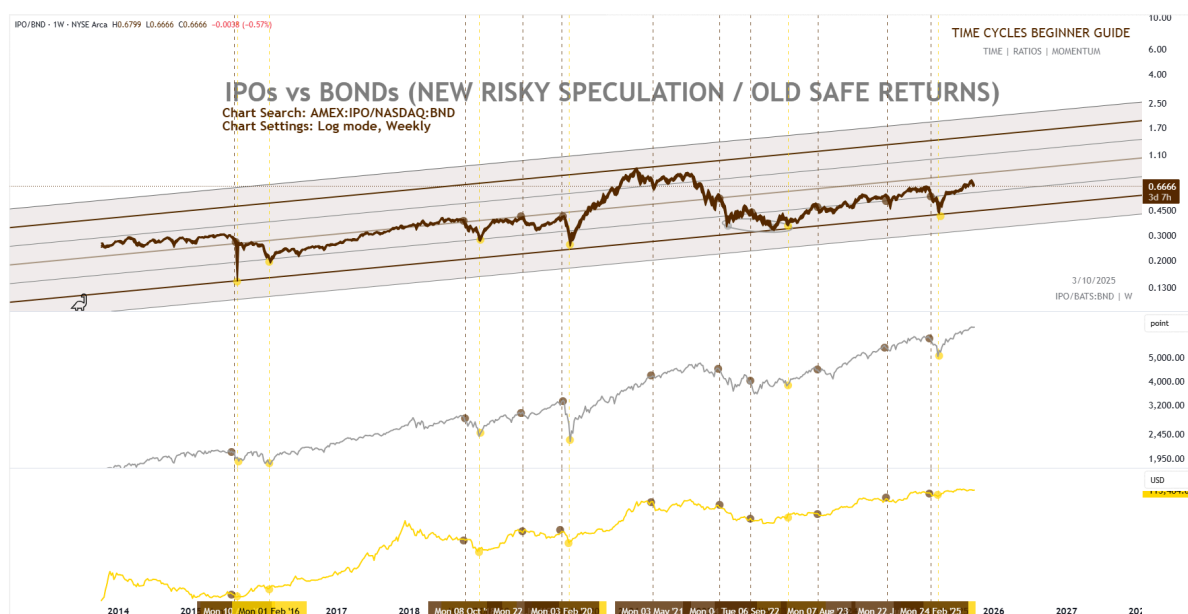
- Credit markets are often **smarter and earlier** than equities.
- HYG/LQD ratio provides:
 - **Macro crash warnings** (distribution + backtests).
 - **Clear fib-based support levels** that align with SPX bottoms.
- In other words, this ratio = **risk barometer** for equities.

Key Takeaway:

- When the ratio is weak → junk bonds are underperforming → investors de-risk → equities at risk of crash.
- When ratio holds/reclaims key fib levels → SPX bottoms tend to lock in.

HYG/LQD = Early warning system for major equity tops + bottoms.

11.2.4. IPO/BND (NEW SPECULATIVE EQUITIES VS GENERAL SAFE BONDS)



What the Chart Tracks

- **IPO Index (IPO)** = performance of recently listed high-growth, high-risk stocks → proxy for speculative appetite.
- **BND (Vanguard Total Bond Market ETF)** = broad bond market returns → proxy for safety & stability.
- **IPO/BND ratio** = a lens on **speculation vs safe returns**.
 - Rising → investors chasing new, risky growth.
 - Falling → investors retreating to safe yield.

Parallel Channel with Fib Levels (0.25, 0.5, 0.75)

- The ratio trades within a **parallel channel**, subdivided by fib levels.
- These levels consistently act as **support/resistance zones**.
- Crucially:
 - **Bearish retests or breakdowns of these fib levels** have lined up with **sharp drawdowns in SPX and BTC**.

Historical Signals

1. **2016** → Ratio failed channel fib → SPX sold off.
2. **2020 Pandemic** → Sharp breakdown → SPX & BTC both dumped.
3. **2021–2022** → Bearish retest at fib midline (0.5) → Followed by equity/crypto corrections.
4. **2023–2024** → Repeated tests of upper/mid fib → Each rejection coincided with weakness in risk assets.

Why It Matters

- **IPO Index = pure risk appetite** → Often moves a week before broader equities.
- **BND = safe returns** → Gives the “old money” baseline.
- When **IPO/BND ratio loses fib levels** → Speculative capital is exiting → SPX & BTC tend to dump shortly after.
- When ratio **reclaims fibs** → Risk appetite returns, marking recoveries.

Key Takeaway

The **IPO/BND ratio** is a leading indicator for speculative cycles:

- **Above fibs** → risk-on.
- **Below fibs / bearish retests** → risk-off → often coincides with major SPX & BTC selloffs.

This makes IPO/BND a **macro sentiment gauge** for when speculation is driving markets vs when capital is fleeing to safety.

Why Ratios Matter

Looked at alone, each chart can be deceptive. Price rises may be nothing more than a short squeeze. A sell-off may be temporary noise. But combined, ratios form a **map of capital rotation**.

With this map, price action stops looking random. You begin to see the order behind the apparent chaos:

- Stocks peaking relative to commodities.
- Commodities rotating into juniors.
- Crypto inflows accelerating after tether supply contracts.

Once you see the flows, you stop reacting emotionally. You start anticipating — and timing — the moves that matter.

Finding the Best Ratio

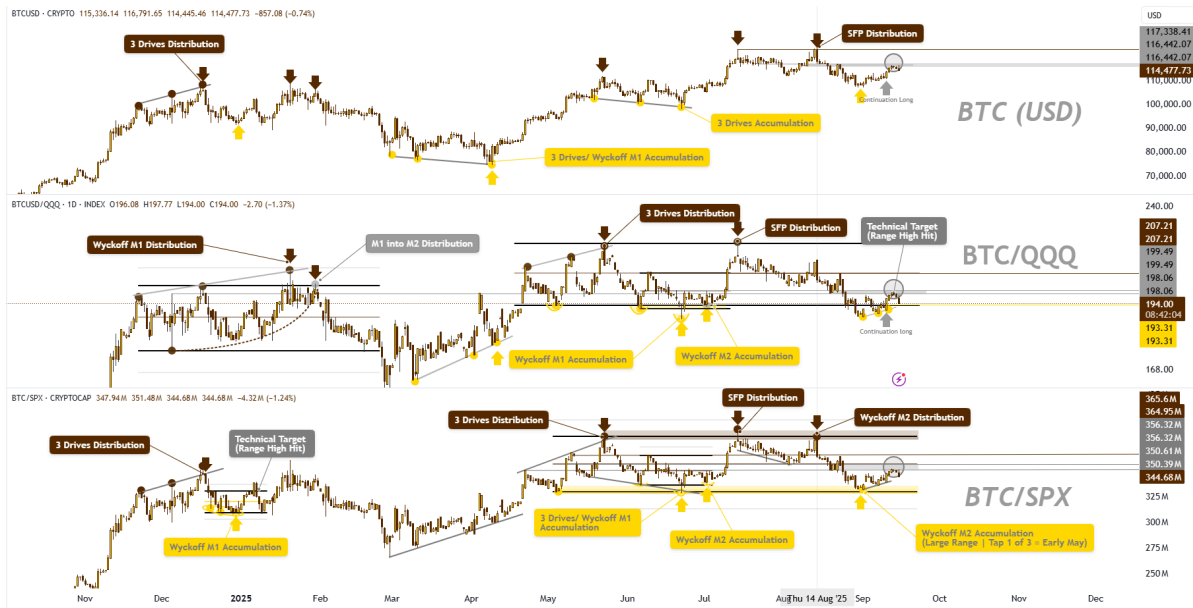
At this point, you may be asking: *“How do I know which ratio is best?”*
The truth is, it depends.

Different ratios offer different clarity. Sometimes one pair will highlight a range or a distribution/accumulation pattern far more cleanly than another. Why limit yourself to a single frame of reference?

That doesn’t mean tracking ten different pairs and overcomplicating things. Keep it simple — but have more than one lens.

For example, when analyzing Bitcoin, I may swap **SPX** for **QQQ** or even **SMH**. At times, BTC/QQQ will show cleaner levels or cycles than BTC/SPX. The point is not to find “the one perfect ratio,” but to give yourself options — multiple windows into the same flow of capital. Apply the “Ratios 4 Laws” as a filter.

See the next picture for an example of how Bitcoin could be traded using BTC/QQQ or BTC/SPX ratios as confluence.



Zoomed in Price Action

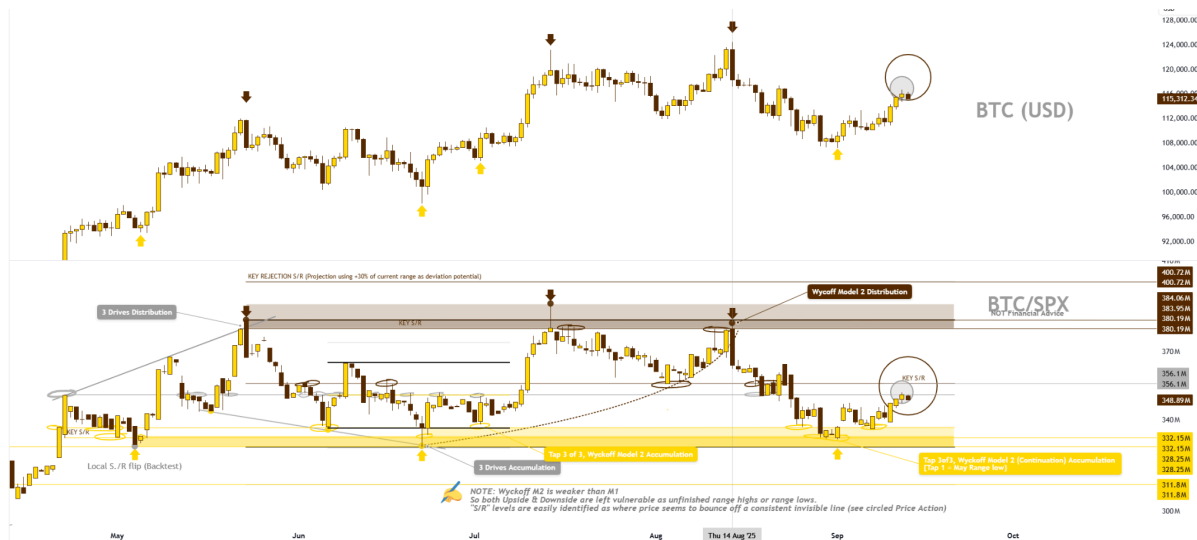
The next picture is a zoomed in version of the BTC/SPX chart. You can see clear S/R levels as well as easily identifiable 3 drive/ Wyckoff accumulation and distribution patterns which add strong clarity and confluence to BTC trades.

Note: In trading, S/R stands for Support and Resistance. These are price levels on a chart where the price of an asset is predicted to pause or reverse its direction due to changes in buying and selling pressure. A support level acts as a "floor" where buyers tend to step in, while a resistance level acts as a "ceiling" where sellers become dominant.



Note: Remember Ratios are very strong confluence, but not infallible, especially in seeing M2 Wyckoff accumulation/distributions, which are less strong than M1 because they leave unfinished highs or lows (extremes not tagged in M2 but are in M1 schematics).

This final image shows BTC (USD) price action moving as expected with confluence of BTC/SPX accumulation or distribution patterns.



Are Asset Currency Pairs Useless?

At this point you might be wondering: *“Do ratios mean I should never look at price? Are currency pairs useless?”*

If you’re asking that, you’re still looking at markets through the old paradigm.

The principle is simple:

If you want to win in financial markets, you must align with Market Maker moves.

And if you want to align with Market Maker moves, you need ratios. Ratios let you see with Market Maker eyes — so you can trade the price levels they trade, instead of the noise retail chases. You still watch price, but ratios give you the strongest confirmations when hitting key price levels.

Which Currency Pair Is Best?

The next question is usually: *“So which pair should I use?”*

Again, think like a Market Maker. The question they ask is:

“In order to outperform, I need to buy when there is real strength behind the move. How do I measure that strength?”

One of the most effective ways is through the **strongest major currency pairs**. For example, the Swiss franc often provides a clear benchmark of relative strength. Comparing an asset against a strong, stable currency helps reveal whether the move you’re seeing is genuine strength — or just weakness in the underlying currency.

The Big Picture

Ratios don't replace price — they *contextualize* it.

They filter the noise, highlight true pivots, and expose whether a move is institutionally supported.

This is why Market Makers live in ratios. They are not asking whether BTC or ETH is “going up.” They are asking whether it's outperforming — and whether capital is rotating behind the move.

Once you learn to ask the same questions, the market stops looking random. You begin to see the playbook.

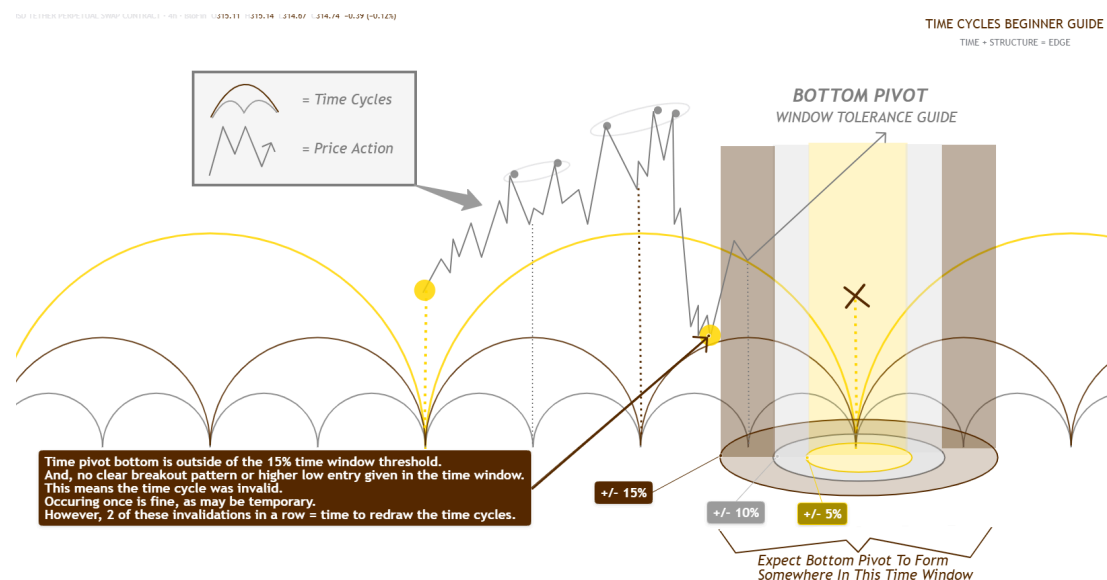
Dealing with Unclear Time Cycles

Sometimes the rhythm on a chart will beat like clockwork for a while, then all of a sudden a shift comes that shakes things up and makes the money flow patterns unclear.

This is when you need to be flexible and focus on forming a time cycle pattern that captures as much of the rhythm as possible.

Invalidating a Time Cycle

In the below image I illustrate a visual representation of how you can imagine time confluence strength - using time window tolerance.



Next I will explain the image above.

In this example price created a time pivot bottom outside of the 15% time window threshold. Additionally, there was no clear breakout pattern or higher low entry given in the time window. This means the time cycle was invalid.

Note: If there was a significant higher low, or breakout/continuation pattern that occurred in the 5% zone then we would still allow this as a valid time cycle. When

neither the significant low or continuation low/ breakout happens in this window is where we declare invalidation.

This invalidation occurring once is fine, as it may be a temporary shift in dominant time cycles. However, two of these invalidations in a row = time to redraw the time cycles. We want the time cycles to hit with 80%+ hit rate and 2 invalid time cycles in a row is a strong warning that it is tie to redraw your time cycles.

Yes, technically it is still possible that the next 8 in a row are correct again, however, it is prudent to redraw your time cycles, even if the outcome is just a slight shift. I recommend that in this event of 2 failed pivots in a row, that you at least create a new “ghost” pivot to monitor for a proposed potential new time pivot.

Respecting Price, Not Just Time Pivots

Below is an example of a trade setup on \$ZC Corn Futures. Here, I pre-planned a long trade from the next time pivot low date, but the price hit the long level earlier than the ideal pivot date.

In this example below on August 11, 2025 there was a pivot low put in on ideal timing.

However this low was a higher low than the low put in on August 26, 2024.

This suggested the first sign of a trend shift. As a result, I watched the price move up fairly strongly so I pre-planned to take a higher low long entry from an ideal demand level. I planned for taking a long entry from \$411 around October 20, 2025 (because this was the logical next ideal time pivot bottom date). See image below.



The image on the next page shows what actually happened. Price put in a model 2 Wyckoff distribution down to hit the \$411 long entry level before the expected date. I still took the long entry, this demand level was confluent with 0.382 fib retracement, the daily 50 EMA momentum support, as well as the anchored VWAP from the August 11, 2025 low.

The important message here is that price and other factors of confluence should still be respected. Time pivots can be helpful for improving our patience to wait for a

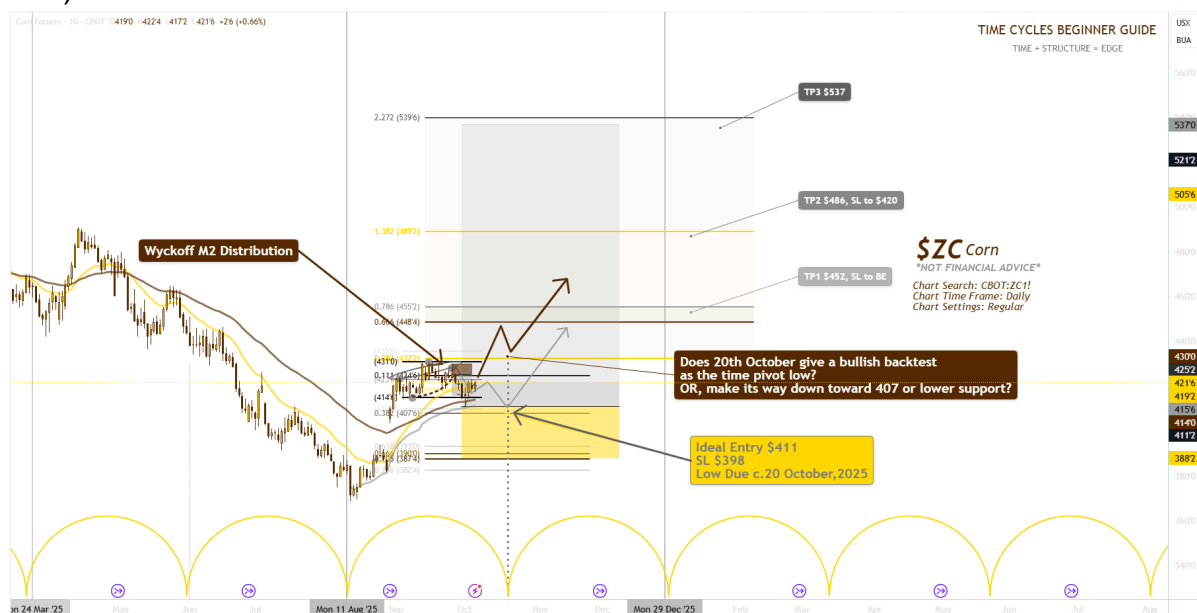
retrace (and time that retrace entry more effectively). However, we need to still respect price and structure, react to reality, not make stubborn predictions. By adapting I took the long entry, despite it hitting the long level earlier than expected, with a wide stop loss to manage that risk, allowing for a continued move lower into October 20,2025. But, I also gave myself an opportunity to be in the long trade if price was to rise higher and only give a bullish back test of the previous rejection level of c.430.

In the image below you see the long entry from \$411 (on 1 October 2025).

Two main possible paths are held in mind.

Scenario 1, Brown path: is price moves up higher than \$431 the previous range high, and then, moves down into \$431 as a bullish backtest on the ideal bottom pivot date (for continuation long entry from \$431).

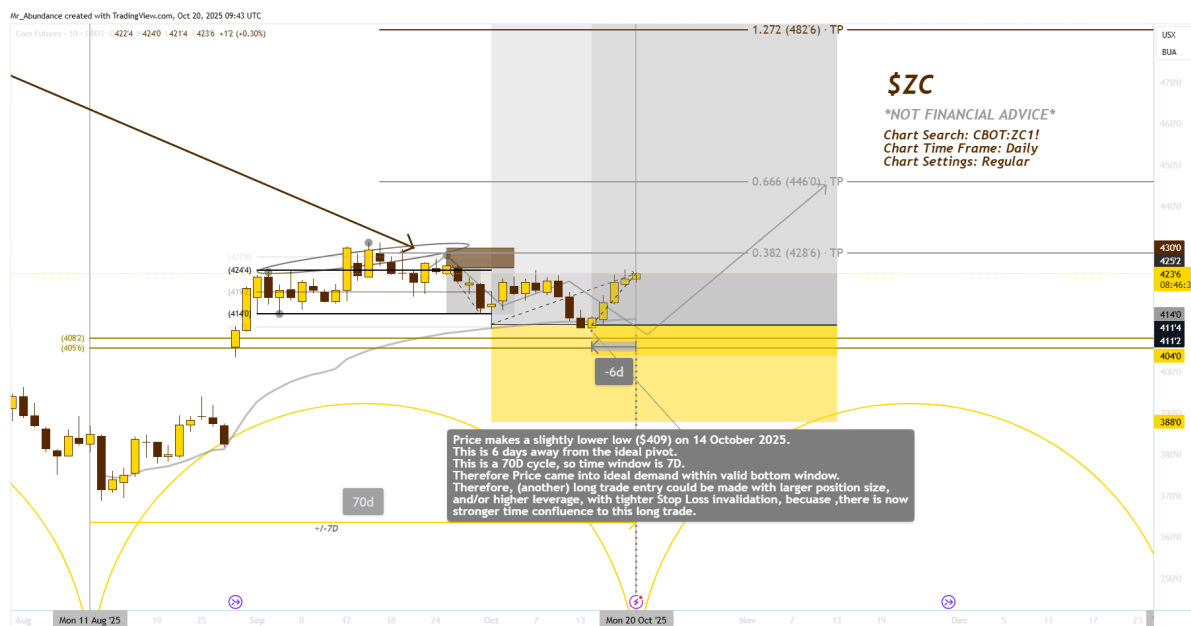
Scenario 2, Grey Path: that price chops downwards into the \$411-407 demand zone, allowing for a long trade from \$411 around 20 October 2025 (the ideal pivot bottom date).



Note: the message of this trade is about respecting price, not just time. Time pivots can be a helpful tool for being patient, waiting for a retrace, rather than “chasing green candles”. However, it is important to still adapt and respect price & structure.

In the image below you see how price moved back to \$411 (the grey pre-planned path) closer to the ideal time pivot. Price made a slightly lower low (\$409) on 14 October 2025. This was 6 days away from the ideal pivot (20 October 2025). This is a 70D cycle, so the time window is 7days +/- from 20 October.

Therefore, price came into ideal demand within the valid bottom window. Therefore, (another) long trade entry could be made with larger position size, and/or higher leverage, with tighter Stop Loss invalidation, because there is now stronger time confluence to this long trade.



Profits Without Precision

The biggest obstacle traders face when learning to trade with time cycles is overfitting. Obsessed with trying to get the perfect date in their time cycles - playing around with the time cycles on different time frames (1 Week, 1D down to 1 hour, down to 1 minute chart).

Trying to predict the exact date is more likely to have you forcing losing trades in a prediction mindset rather than reading the money flow pattern rhythm to simply add time confluence to your trades.

Throughout this guide, you may wonder how to know whether you've chosen the 'right' or 'best' time-cycle bottom pivots to project forward. No method will deliver a 100% success rate.

That's why confirmation is essential. Use backtesting, monitor key ratios at support levels, look for signs of accumulation into the pivot, and apply momentum indicators as additional confluence for both your entry and your time-pivot selections.

Stealth Time Cycles

Next I will introduce to you some more advanced time cycle patterns I call “stealth time cycles”. These are non-obvious time cycle patterns. These will be patterns you are unlikely to identify by mapping symmetry and time cycles using the largest, most obvious downside lows.

I am not sharing these examples for you to be able to learn the method. But purely so that in seeing some of these examples you will see evidence that allows you to adopt the principle and mindset that you can simply focus on reading market rhythms without needing to fixate on perfect timing.

Example 1 - **\$ETH**.

In this example we can look at 2 time cycles on ETH where the time cycles are drawn using the weekly timeframe chart.

Example 1.1

One way of mapping the time pivots on ETH is using key troughs and symmetry method, dividing by 2 and 2 again etc (Dates: 9 March 2020 and 19 September 2022).

This is using a major low in 2020, and a midpoint of 2 fairly equal lows (either side of September 2022). Where there are 2 significant equal lows the midpoint is used, instead of biasing to choose the technically lowest point of those 2 fairly equal lows. Mindset being to capture the overall rhythm instead of just using the biggest bottom wick. This ends up mapping well for symmetry but also projects forwards to capture another significant swing low on 7 April 2025.

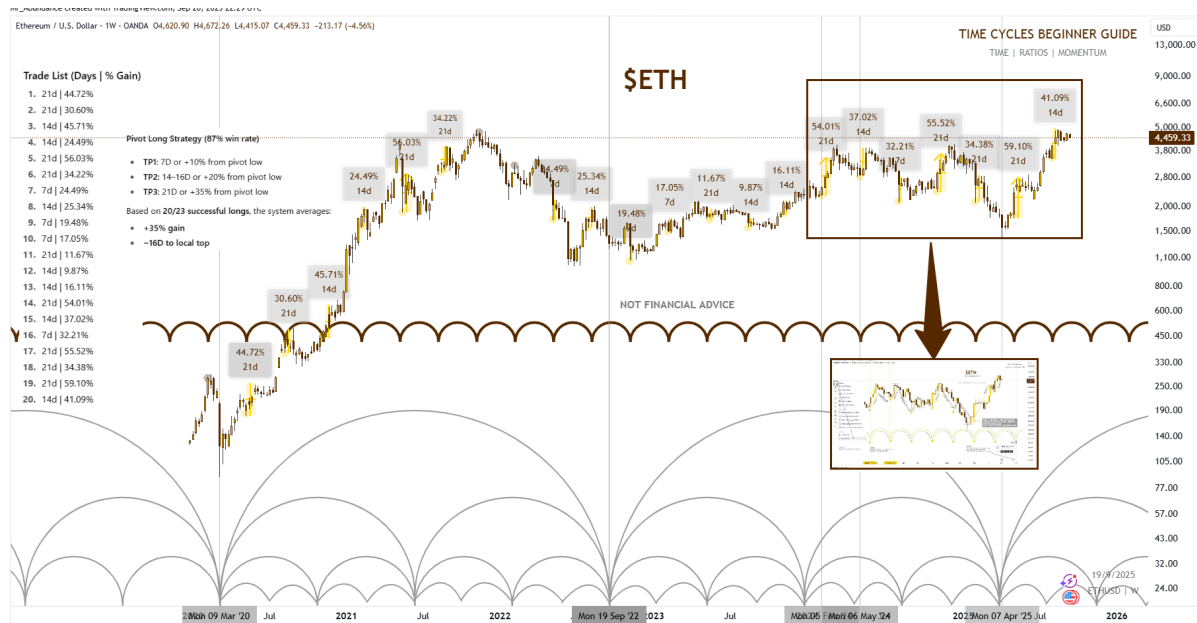
Example 1.2

We will look at another example on ETH in a little more detail.

To chart this time cycle use dates 5 February, 2024 and 6 May, 2024.

Using back testing we see the long success rate from the time pivots with +/-7day window. Backtesting gives statistical insights to the trade to better identify % gains and timing between pivot bottom and expected top.

These insights can be used to pre-plan take profit targets both through time from the pivot bottom and % gain moving out from the pivot. This gives us strong targets beyond simply only watching supply or fibonacci targets.



“Stealth Time Cycles” - A term coined by myself.

You may also notice that this time cycle could first have been identified on 10 August, 2020 and implemented from 10 November, 2020.

However, this is a more complex method of identifying potential time cycles where instead of only watching pivot bottoms as the bottom of a down wick, you also watch pivot bottoms as the final lows before a breakout.

This is the timecycle equivalent of spotting FVGs/ ‘hidden liquidity’/ ‘Dark Pools Liquidity’ in price. For many traders these time cycles often remain hidden from the masses for a long time, taking months or years to be made clear.

This is not something you should attempt to apply, just something to come back to once you have been applying time cycles for a year or so.

Again I am sharing these examples to emphasise the principles.

Focus on rhythm, focus on dominant time cycles. Do not only pay attention to the “biggest downside wicks” as your reference point for drawing time cycles.

For now, keep it simple!